June 1, 2026

Senator Paul A. Sarlo
Chair, Senate Budget and
Appropriations Committee
State House, 145 W. State Street
P.O. Box 068
Trenton, NJ 08625

Senator Linda R. Greenstein
Vice Chair, Senate Budget and
Appropriations Committee
State House, 145 W. State Street
P.O. Box 068
Trenton, NJ 08625

Senator Raj Mukherji
State House, 125 W. State Street
P.O. Box 068
Trenton, NJ 08625

RE: Letter in Opposition to New Jersey S 2316

Dear Chair Sarlo, Vice Chair Greenstein, and Senator Mukherji:

On behalf of the advertising industry, we write to oppose New Jersey S 2316.[1] We provide this letter to offer our non-exhaustive list of concerns about this bill. S 2316 would amend the New Jersey Data Privacy Act ("NJDPA") to prohibit controllers from "selling" sensitive data, including precise geolocation data.[2] Furthermore, the prohibition would broadly apply to "all individuals or legal entities" regardless of the number of consumers whose data the individual or entity controls or processes.[3] If enacted, the bill would deprive New Jersey consumers of access to critical services and benefits that depend on location data. Accordingly, we ask you to decline to advance this bill out of the Senate Budget and Appropriations Committee ("Committee").

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,000 companies that power the commercial Internet, which accounted for nearly 20 percent of total U.S. gross domestic product ("GDP") in 2024.[4] By one estimate, approximately 17.7% of New Jersey jobs in 2024 were related to the ad-subsidized Internet, a share projected to increase to 19.6% by 2029.[5] Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Committee further on the points we discuss in this letter.

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[1] New Jersey S 2316 / 4109 (combined with S2316) (2026-2027 Session), located here (hereinafter, "S 2316").
[2] S 2316 § 9(a)(6).
[3] *Id.*
[4] S&P Global, THE ECONOMIC IMPACT OF ADVERTISING ON THE US ECONOMY, 2024-2029 at 4 (Aug. 2025), located at https://theadcoalition.com/wp-content/uploads/2025/08/TAC_SP-Global-Final-Report_August-2025.pdf.
[5] *Id.* at 15-16.

I. S 2316 would impede businesses' and nonprofits' ability to use location data to send advertising to consumers in the right time and at the right place.

New Jersey's existing privacy law already provides strong protections for location data. Under the NJDPA, businesses may process or sell precise geolocation data *only with a consumer's consent*.[6] S 2316 would go significantly further by prohibiting the sale of precise geolocation data altogether, even where consumers have knowingly and voluntarily consented to such transfers. This sweeping ban would unnecessarily disrupt data practices that allow advertisers and nonprofits to reach consumers with relevant content and advertising, enabling consumers to learn about goods and services that are near to them. Without the ability to disclose precise geolocation data for advertising purposes, subject to consumers' opt-in consent, New Jersey's small businesses will face greater difficulty competing with larger companies by incurring higher marketing costs, facing additional challenges reaching individuals with relevant marketing and becoming more reliant on larger platforms that process location data without engaging in a sale. As a result, New Jersey consumers may be less likely to learn about nearby products and services that match their interests and needs.

II. S 2316 would restrict the availability of location data in times of an emergency.

S 2316**'s** prohibition on the sale of precise geolocation data could also have serious and unintended consequences for emergency alerts and public safety communications that New Jerseyans rely on. Location data is the backbone of emergency notices, particularly AMBER-like alerts, severe weather notices, and other time-sensitive public safety messages, allowing these notices to be immediately displayed to users in the impacted area on any device they are using.[7] These types of services depend on acquiring location data from third parties. If S 2316 becomes law, and location data becomes less accessible due to the bill's prohibitions, emergency alerts may be delayed, over-inclusive, under-inclusive, or fail to reach some individuals altogether. New Jersey consumers may lose access to emergency alerts for floods and other community emergencies, as these important, real-time alerts rely on disclosure of location data to function.

III. S 2316's proposed ban on the sale of location data could hinder effective fraud prevention products and services.

Financial institutions, retailers, and other companies rely on sophisticated anti-fraud and identity protection services that include location data provided by third parties. The responsible use and disclosure of location data allows anti-fraud and identity protection services to flag suspicious behavior and protect vulnerable communities. For example, companies can more easily detect credit card theft or fraud if they or their service providers have access to location data showing that a consumer is not in the location where a purchase is being made. If passed, S 2316 would impede entities' ability to responsibly use and disclose location data to prevent fraudulent activity and reach out to consumers to confirm their purchases. Even though the

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[6] NJ Rev. Stat. § 56:8-166.12(a)(4).
[7] *See* Digital Advertising Alliance, *Summit Snapshot: How Digital Ad Technology Helps Drive the Amber Alert System and Its Increasingly Global Impact* (Aug. 26, 2024), located here.

NJDPA includes an exemption for data use to prevent and detect fraud,[8] prohibiting the sale of precise geolocation data for commercial uses would significantly reduce the availability of data at scale to effectively combat fraud. As a result, less location data would be available in the marketplace overall, including for critical uses such as detecting, preventing, and investigating fraud. S 2316's broad prohibition on sensitive data sales, including precise geolocation data, would significantly weaken essential consumer protection services that rely on location data to function. This bill, if enacted, would make it harder for companies to detect and prevent fraud, respond quickly to suspicious activity, and protect consumers from financial loss.

IV. S 2316 should be harmonized with existing state privacy laws.

New Jersey should focus its efforts on full implementation and enforcement of the NJDPA and maintain its current approach in regulating precise geolocation data in a similar manner to how many other states have designed this consumer protection. S 2316's proposed ban on sales of precise geolocation data would diverge from the majority approach across the states, have a chilling effect on commerce, and impact products and services that consumers value. As drafted, the prohibition would also apply to all individuals and businesses, regardless of the number of consumers whose data is controlled or processed. As a result, the prohibition could apply even when other provisions of the NJDPA do not, because the entity does not meet the existing statute's applicability thresholds, which may create confusion particularly for small businesses who may not otherwise be subject to the NJDPA's terms. Moreover, the bill creates uncertainty regarding its interaction with existing NJDPA exemptions, particularly those that permit the use of data for fraud prevention and security purposes.[9] A patchwork of differing privacy standards across the states creates significant costs for businesses and consumers alike. Efforts to harmonize state privacy legislation with existing privacy laws are critical to minimizing costs of compliance and fostering similar privacy rights for consumers no matter where they live.

Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 concluded that the initial compliance costs to California firms would be $55 billion.[10] Another recent study found that a consumer data privacy proposal in Florida would have generated a direct initial compliance cost of $6.2 billion to $21 billion and ongoing annual compliance costs of $4.6 billion to $12.7 billion for the state.[11] Other studies confirm the staggering costs associated with varying state privacy standards. One report found that state privacy laws could impose out-of-state costs of between $98 billion and $112 billion annually, with costs exceeding $1 trillion dollars over a 10-year period, and with small businesses shouldering a significant portion of the

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[8] *Id.* at § 56:8-166.15(a)(9).

[9] *Id.*

[10] *See* State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations*, 11 (Aug. 2019), located at https://dof.ca.gov/media/docs/forecasting/economics/major-regulations/major-regulations-table/CCPA_Regulations-SRIA-DOF.pdf.

[11] *See* Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida*, 2 (Oct. 2021), located at https://floridataxwatch.org/DesktopModules/EasyDNNNews/DocumentDownload.ashx?portalid=210&moduleid=34407&articleid=19090&documentid=986.

compliance cost burden.[12] Harmonization with existing privacy laws is essential to create an environment where consumers in New Jersey have privacy protections that are consistent with those in other states, while minimizing unnecessary compliance costs for businesses. New Jersey should not add to this compliance bill for businesses and should instead opt for an approach to data privacy that is in harmony with already existing state privacy laws.

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We and our members strongly support meaningful privacy protections for consumers. We believe, however, that S 2316's ban on precise geolocation data sales will remove choices from New Jersey consumers, impede businesses from contacting New Jerseyans with relevant advertising messages, and will hinder the provision of emergency alerts and fraud prevention services. We therefore respectfully ask the Committee not to advance S 2316, as its provisions would negatively affect both businesses and consumers alike.

Thank you in advance for your consideration of this letter.

Sincerely,

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[12] Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws (finding that small businesses would bear approximately $20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).